

PENNSYLVANIA HOUSING FINANCE AGENCY

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**PENNSYLVANIA HOUSING FINANCE AGENCY COMMITS \$19,487,945 FOR
APARTMENTS IN PHILADELPHIA, BUTLER, MONTOUR, AND PERRY COUNTIES;
AWARDS \$11,050,000 TO URBAN HOMEOWNERSHIP INITIATIVES IN
CHESTER, ERIE, HARRISBURG, PHILADELPHIA, PITTSBURGH, AND YORK**

(HARRISBURG) At its October Board meeting, the Pennsylvania Housing Finance Agency approved \$19,487,945 of loans and tax credits for rental apartment developments in Philadelphia, Butler, Montour, and Perry Counties. The funding was made available under PHFA's PennHOMES Multifamily Development, bond financing, and Housing Tax Credit Programs.

When complete, the value of the properties will total \$31,475,126.

PHFA also awarded funds of \$11,050,000 for housing to be developed under its Homeownership Choice Programs in the Cities of Chester (Delaware County), Erie, Harrisburg, Philadelphia, and Pittsburgh. These programs help develop "for-sale" houses, foster neighborhood revitalization, and encourage development of mixed use facilities.

Multifamily Rental Development Commitments

NEWPORT HOTEL SENIOR HOUSING, NEWPORT (PERRY COUNTY)

Newport Hotel Senior Housing will offer 13 rental units for persons 62 years of age or older in two three-story renovated buildings at 120 Market Street in the borough of Newport. There will be ten one-bedroom and three two-bedroom apartments, including two units that are accessible to persons with mobility impairments and one unit for persons with hearing or vision impairments.

PHFA will provide \$1,421,589 in PennHOMES rental housing program funds and \$132,214 of tax credits to rehabilitate the facility, which is being developed by Tri-County Housing, Ltd., of Harrisburg.

Poole Anderson, LLC, of State College, is the general contractor. Lefevre Funk Architects of Lancaster is the development's architect. Property Management, Inc., of Lemoyne will be the management agent.

(Newport Hotel Senior Housing, continued)

One-bedroom apartments will contain 695 square feet, with two-bedroom units having 945 square feet. The overall size of the development will be 20,082 square feet, including 775 square feet of community space.

Besides PHFA funding, the Pennsylvania Department of Community and Economic Development provided a Housing and Redevelopment Assistance Loan of \$315,000. The First National Bank of Newport will provide equity financing of \$1,719,531 from the sale of PHFA-allocated tax credits.

Total replacement cost of Newport Hotel Senior Housing is \$3,456,120.

WELSH HEIGHTS, DANVILLE (MONTGOMERY COUNTY)

PHFA will fund the construction of 24 apartments for persons 62 years old or older in a new three-story building on the corner of Second and Becker Streets, Danville. The 26,468 square foot development will have 22 one- and two two-bedroom units, including four that will be accessible to persons with mobility impairments and two for residents with vision or hearing impairments.

The Agency approved \$968,560 of PennHOMES funding and tax credits of \$1,048,609. SEDA-COG of Lewisburg will provide additional financing of \$318,415. Fulton Financial Corporation will make an equity contribution of \$2,021,182 from PHFA tax credit syndication proceeds.

Replacement value of the development is estimated at \$3,307,887.

SEDA-COG Housing Development Corporation of Lewisburg, is the sponsor and will manage the project. Wolfe Associates of Sunbury is the architect. T. Ross Brothers Construction, Inc., of Montandon is the General Contractor. Albright Community Services, Ltd., of Lewisburg, will provide supportive services for residents.

MADISON GROVE, SLIPPERY ROCK (BUTLER COUNTY)

Madison Grove will offer 50 rental units in nine one- and two-story buildings located on a five acre site on Grove City Road in Slippery Rock. There will be six one-bedroom, 16 two-bedroom, 16 three-bedroom, and 12 four-bedroom apartments, including six units accessible to persons with mobility impairments and two units for persons with hearing or vision impairments. Overall size of the development is 61,175 square feet, including 1,222 of community space.

The value of the completed development is estimated at \$5,863,893.

(Madison Grove, continued)

PHFA will provide a loan of \$610,000 and \$676,103 of tax credits to rehabilitate the facility, which is being developed by Woda Housing of Pennsylvania, LLC. PNC Multifamily Capital will offer \$5,253,893 of equity financing from its syndication of the tax credits.

P.C.I. Design Group, Inc., is the architect. Woda Management and Real Estate, LLC, will be the management agent. Both are Columbus, Ohio, firms. Housing Services Alliance, Inc., of Bellaire, Ohio, will provide housing services.

RIVERSIDE SENIOR APARTMENTS, PHILADELPHIA

PHFA approved the issuance of approximately \$15,000,000 of tax-exempt bonds for the rehabilitation of Riverside Senior Apartments, a ten-story residence for persons at least 62 years old, at 158 North 23rd Street (2300 Race Street), in the Logan Square neighborhood of Center City Philadelphia. The funding will be used to rehabilitate the buildings 100 one-bedroom and 50 efficiency units so that they can be preserved as affordable apartments.

The sponsor is Presbytery Homes and Services, Inc., of Lafayette Hills. The contractor for the rehabilitation work is T.N. Ward & Co., of Ardmore, and the architect is spg 3 of Philadelphia.

Currently all apartments are occupied. There will be a floor-by-floor relocation as renovations are carried out, with residents returning once the units on their floors are completed. Located in one of the most desirable areas of Philadelphia, Riverside Senior Apartments' repair and rehabilitation will add to the property's appeal and the neighborhood stability.

Homeownership Choice Programs Awards

PHFA also awarded \$11,050,500 to eight proposals affecting six Commonwealth communities under the three categories of its Homeownership Choice Programs. The categories are the Homeownership Construction Initiative, the Neighborhood Revitalization Initiative, and the Mixed Use Facility Financing Initiative. Almost \$31,000,000 of funding requests were received by the Agency.

HCP initiatives are distinguished by cooperative efforts among for-profit, nonprofit, and municipal partners, using PHFA funding to leverage other monetary resources.

(Homeownership Choice Programs, continued)

First offered in 2000, HCP programs provide the necessary financing not otherwise available to help overcome blight and neglect. More than \$55,000,000 has already been committed by PHFA to this highly successful, nationally recognized effort. Nearly \$340,000,000 of additional investment has been the result. The dollars generated, which remain in the communities where the projects are located, make a big impact on local economies and are a catalyst to continued development.

The 2006 Homeownership Choice Programs proposals accepted by PHFA are listed below, by program category.

Homeownership Construction Initiative

CECIL B. MOORE HOMEOWNERSHIP ZONE, PHILADELPHIA

PHFA awarded \$2,700,000 for construction of 87 new three- and four-bedroom homes in the Cecil B. Moore Homeownership Zone of North Central Philadelphia, west of Temple University. The two areas affected are: A, south of Montgomery, west of 19th street, north of Cecil B. Moore Avenue, and east of 20th Street; and, B, south of Jefferson Street, north of Master Street, west of 19th Street, and east of 20th Street. Most of the area is vacant land. Total cost of the development is \$26,641,000.

All houses will be two-stories, with off-street parking pads and garages. All will be VisitAble, and 14 will be fully accessible dwellings for persons with mobility impairments.

The Philadelphia Office of Housing and Community Development, the Housing Enrichment Renaissance Board CDC, and OKKS-MDC J.V. LLC of Marlton, New Jersey, are sponsors.

Additional funding will be provided by the City of Philadelphia.

NORTHWEST TRIANGLE, YORK (YORK COUNTY)

The Northwest Triangle Initiative calls for the construction of 82 new two- and three-bedroom homes along the Cordurus Creek in the northwest quadrant of the City of York. It is near the City's downtown, about a quarter-mile from the historic Continental Square. Five of the homes will be accessible to persons with disabilities, and five of the houses will be VisitAble for individuals with mobility impairments.

(Northwest Triangle, continued)

The Pennsylvania Housing Finance Agency will provide \$1,375,000 of the \$19,850,000 overall cost. Other funding comes from the York Redevelopment Authority, an Enterprise Community Loan, and private lenders.

Northwest Triangle Site LLC of Seven Valleys, Pennsylvania, the City of York Redevelopment Authority, and the Enterprise Housing Corporation of Baltimore sponsored the proposal.

UNION SQUARE, CHESTER (DELAWARE COUNTY)

Union Square is a 26 new home development in the West End community of the Chester. PHFA has approved \$1,500,000 for the \$6,899,577 project.

All the houses will have four bedrooms and three bathrooms, and will incorporate “green building” environmentally friendly features to be energy efficient according to LEED and Energy Star requirements. Two will be accessible, and as many units as grading and subsurface conditions allow will be VisitAble.

The overall cost is \$10,800,000. Other funding comes from Delaware County, the City of Chester, the Chester Economic Development Authority, the Chester Redevelopment Authority and the Federal Home Loan Bank of Pittsburgh.

T. J. Properties, Inc., of Philadelphia, the Chester Redevelopment Authority, and the Chester Community Improvement Project sponsored the proposal.

Neighborhood Revitalization Initiative

PRADERA III, PHILADELPHIA

The Asociación de Puertorriqueños en Marcha, Inc. (APM) of Philadelphia, was awarded \$1,075,000 to support production of 22 single family for-sale homes in North Philadelphia. All will be three-bedroom houses, offered as attached and detached units. Two will be fully accessible, and 90 percent of the remainder will be VisitAble. Additional funds come from the City of Philadelphia. Total development costs are estimated at \$6,129,000. Groundbreaking is expected early next year, with the work completed by November 2007.

(Neighborhood Revitalization Initiative, continued)

REVITALIZE MIDTOWN, HARRISBURG

PHFA approved \$600,000 to assist the construction and rehabilitation of 85 single-family homes in the neighborhood where the Pennsylvania Governor's Residence is located. WCI Partners, LP, the nonprofit organizations Harrisburg Young Professionals and the Community Action Commission, and the City of Harrisburg's Department of Building and Housing are sponsors. Overall costs of the completed development are expected to be \$12,565,000, with additional funding being provided by the City of Harrisburg and Wachovia Bank. Construction start for new homes is planned for January 2007, with completion the following October.

BRADDEHANNA HOMEOWNERSHIP DEVELOPMENT, PITTSBURGH

PHFA also approved \$1,400,000 of Neighborhood Revitalization funding for construction of 28 new single-family detached homes, and the rehabilitation of two vacant houses in the Homewood-Brushton neighborhoods of Pittsburgh. Total development costs are \$7,550,000, with additional funding being provided by the City of Pittsburgh, the Urban Redevelopment Authority of Pittsburgh, the Pittsburgh Partnership for Neighborhood Development, and the Federal Home Loan Bank of Pittsburgh. The URA, Building United of Southwestern Pennsylvania, and Sterling Construction, LLC of Homestead, are sponsors. Construction of the first group of ten homes is slated for a spring 2007 groundbreaking, with a projected completion of all homes in 2009.

Mixed Use Facility Financing Initiative

FATTAH HOMES, PHILADELPHIA

PHFA approved \$550,000 for construction of two buildings at 4017 Lancaster Avenue and 612 North 40th Street that offer commercial space on the first floor and apartments above. Other funding for the \$2,102,991 project comes from the City of Philadelphia, HUD, the William Penn Foundation, and the Federal Home Loan Bank of Pittsburgh. The People's Emergency Center CDC, Sherick Project Management, Inc., and the Philadelphia Office of Housing and Community Development are sponsors. Expect a summer, 2007, construction start with a completion date in May 2008.

(Mixed Use Facility Financing Initiative, continued)

MERCANTILE BUILDING, ERIE

PHFA approved \$950,000 for the renovation of the five-story Mercantile Building into a restaurant and retail space on the ground floor, with office condominiums and 13 residential condominiums on higher floors at 1401 State Street. D. Richard Fox, AIA, The Erie Redevelopment Authority, and St. Martin Center of Erie are the sponsors of the \$6,724,000 project. Demolition of nearby structures and construction of the condominiums is planned for March, 2007, with rehabilitation of the commercial areas of the building scheduled for the next month.

OTHER FUNDING APPROVED

PHFA also approved funding of \$900,000 for owner-occupied rehabilitation and repair initiatives in areas that had previously received Homeownership Choice Program allocations. Those selected were: Pottstown (Montgomery County), \$100,000; East Liberty (Pittsburgh), \$250,000; Hazleton (Luzerne County), \$150,000; and Clairton (Allegheny County) \$400,000.

The Pennsylvania Housing Finance Agency is the Commonwealth's leading provider of capital for affordable homes and apartments.

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